LOLC HOLDINGS PLC

(FORMERLY KNOWN AS LANKA ORIX LEASING COMPANY PLC)

INTERIM FINANCIAL STATEMENTS

NINE MONTH PERIOD ENDED 31 DECEMBER 2018

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Interim Financial Statements
For the nine month period ended 31 December 2018

Content

1 Statement of Financial Position

2 Statement of Profit or Loss

3 Statement of Other Comprehensive Income

4 Statement of Changes in Equity

5 Statement of Cash Flows

6 Notes to the Interim Financial Statements

7 Operating Segments

8 Valuation of Financial Assets and Liabilities

9 Statement of Directors' Holding and Chief Executive Officer's holding in Shares of the Entity

10 Top 20 Shareholders

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of Financial Position

Group	Company		Group		Company	
31-Mar-18	**31-Mar-18**	*As at*	**31-Dec-18**	**31-Dec-17**	**31-Dec-18**	**31-Dec-17**
Rs.' 000	**Rs.' 000**		**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Audited	**Audited**		**Un-audited**	**Un-audited**	**Un-audited**	**Un-audited**
		Assets				
51,133,160	281,209	Cash and cash equivalents	102,659,423	50,846,148	1,310,584	218,919
3,168,463	341,399	Trading assets - fair value through profit or loss	10,027,425	9,934,022	460,184	409,914
80,136,613	9,936,230	Investment securities	70,719,084	72,828,541	4,164,434	317,443
56,724,874	2,888	Finance lease receivables, hire purchases and operating leases	59,346,198	56,188,612	2,617	4,515
493,251,097	2,342,042	Advances and other loans	617,297,490	454,158,807	2,113,989	703,735
1,112,966	-	Insurance premium receivables	862,748	843,215	-	-
4,579,203	251,875	Inventories	5,706,085	4,162,520	509,443	327,687
1,284,651	172,790	Current tax assets	1,457,482	398,420	255,104	159,324
26,058,144	18,307,042	Trade and other current assets	25,321,849	24,510,141	15,317,427	26,173,929
2,305,861	-	Prepaid lease rentals on leasehold properties	2,662,560	2,282,309	-	-
14,352,331	882,500	Investment properties	14,310,554	13,089,665	882,500	376,600
		Biological Assets;				
3,305,919	-	Consumable biological assets	3,352,897	2,998,510	-	-
1,212,197	-	Bearer biological assets	1,262,078	1,201,321	-	-
		Investments in group companies;				
-	68,301,090	Subsidiary companies	-	-	80,207,711	63,283,301
-	-	Joint venture companies	197,232	155,621	-	-
17,451,392	4,314,001	Equity accounted investees - Associates	18,165,168	16,264,277	4,314,001	4,314,001
1,914,813	-	Deferred tax assets	2,468,548	1,275,628	275	-
13,954,791	220,378	Intangible assets	14,449,684	13,402,228	522,944	202,464
50,293,016	5,369,609	Property, plant and equipment	58,013,444	45,684,003	5,582,206	6,333,068
822,239,491	**110,723,053**	**Total assets**	**1,008,279,948**	**770,223,988**	**115,643,419**	**102,824,900**
		Liabilities and equity				
		Liabilities				
9,293,783	2,459,828	Bank overdrafts	12,923,093	8,594,716	3,028,352	2,400,101
754,089	-	Trading liabilities - fair value through profit or loss	3,511	855,733	-	-
307,528,600	-	Deposits liabilities	420,429,910	285,610,272	-	-
332,254,802	51,781,301	Interest bearing borrowings	373,560,886	313,070,738	60,533,863	49,310,593
2,877,925	-	Insurance provision - life	3,022,412	2,887,228	-	-
3,438,534	-	Insurance provision - general	3,378,745	3,129,337	-	-
4,812,096	718,156	Current tax payables	8,663,396	6,272,613	825,265	32,958
37,193,512	3,513,803	Trade and other payables	40,990,061	28,471,549	1,594,058	4,188,505
4,935,030	323,146	Deferred tax liabilities	4,910,184	3,915,409	-	273,706
184,404	-	Deferred income	224,459	210,487	323,146	-
1,434,161	291,463	Retirement benefit obligations	1,584,365	1,297,353	323,268	263,881
704,706,936	**59,087,697**	**Total liabilities**	**869,691,023**	**654,315,435**	**66,627,952**	**56,469,744**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
11,683,569	2,930,211	Reserves	20,849,457	9,201,127	2,727,528	3,346,561
58,303,245	48,229,945	Retained earnings	71,079,279	57,328,934	45,812,739	42,533,395
70,462,014	**51,635,356**	**Equity attributable to shareholders of the Company**	**92,403,936**	**67,005,261**	**49,015,466**	**46,355,156**
47,070,541	-	Non-controlling interests	46,184,990	48,903,292	-	-
117,532,555	**51,635,356**	**Total equity**	**138,588,925**	**115,908,553**	**49,015,466**	**46,355,156**
822,239,491	**110,723,053**	**Total liabilities & equity**	**1,008,279,948**	**770,223,988**	**115,643,419**	**102,824,900**
148.28	**108.66**	**Net assets per share (Rs.)**	**194.45**	**141.00**	**103.15**	**97.55**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mr. I.C. Nanayakkara
Deputy Chairman

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

15th February 2019, Rajagiriya (Greater Colombo)

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)

Statement of Profit or Loss

	Group					
	Three Months Ended			Nine Months Ended		
	31-Dec-18 Rs.' 000	31-Dec-17 Rs.' 000	Variance %	31-Dec-18 Rs.' 000	31-Dec-17 Rs.' 000	Variance %
Gross income	**44,302,853**	**38,150,971**	**16**	**123,713,113**	**107,656,444**	**15**
Interest income	32,056,284	27,211,971	18	90,700,627	75,622,048	20
Interest expense	(18,729,157)	(15,403,788)	(22)	(51,430,958)	(43,475,993)	(18)
Net interest income	**13,327,128**	**11,808,183**	**13**	**39,269,670**	**32,146,055**	**22**
Revenue	6,411,129	6,212,330	3	17,122,837	16,854,474	2
Cost of sales	(4,277,997)	(4,198,222)	(2)	(11,782,178)	(10,944,560)	(8)
Gross profit	**2,133,132**	**2,014,108**	**6**	**5,340,659**	**5,909,914**	**(10)**
Income	4,533,722	3,667,364	24	12,532,349	10,093,052	24
Other income/(expenses)	1,301,717	1,059,306	23	3,357,299	5,086,870	(34)
Profit before operating expenses	**21,295,699**	**18,548,961**	**15**	**60,499,977**	**53,235,891**	**14**
Operating expenses						
VAT on financial services	(460,618)	(627,656)	27	(1,774,933)	(1,900,513)	7
Other direct expenses excluding finance costs	(1,365,831)	(1,564,196)	13	(4,156,418)	(4,340,796)	4
Personnel costs	(6,072,371)	(4,928,240)	(23)	(16,082,174)	(13,872,840)	(16)
Net impairment (loss) / reversal on financial assets	(3,606,108)	(2,238,897)	(61)	(9,411,602)	(5,982,382)	(57)
Depreciation and amortization	(664,659)	(574,339)	(16)	(1,883,218)	(1,671,066)	(13)
Other operating expenses	(4,345,761)	(3,317,314)	(31)	(12,065,181)	(9,394,036)	(28)
Results from operating activities	**4,780,351**	**5,298,319**	**(10)**	**15,126,451**	**16,074,258**	**(6)**
Share of profits of equity accounted investees	24,510	631,577	(96)	743,530	1,565,913	(53)
Results on acquisition and divestment of group investments	-	1,597	(100)	-	1,597	(100)
Profit before income tax expense	**4,804,861**	**5,931,493**	**(19)**	**15,869,981**	**17,641,768**	**(10)**
Income tax expense	(1,583,527)	(1,503,746)	(5)	(5,133,939)	(4,397,883)	(17)
Profit for the period	**3,221,334**	**4,427,747**	**(27)**	**10,736,042**	**13,243,885**	**(19)**
Profit attributable to;						
Equity holders of the Company	1,081,899	2,550,722	(58)	5,452,950	7,263,132	(25)
Non-controlling interests	2,139,435	1,877,025	14	5,283,092	5,980,753	(12)
	3,221,334	**4,427,747**	**(27)**	**10,736,042**	**13,243,885**	**(19)**
Basic earnings per share (Rs.)	**2.28**	**5.37**	**(58)**	**11.48**	**15.28**	**(25)**

Figures in brackets indicate deductions.
The above figures are not audited

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)

Statement of Other Comprehensive Income

	Group					
	Three Months Ended			Nine Months Ended		
	31-Dec-18 Rs.' 000	31-Dec-17 Rs.' 000	Variance %	31-Dec-18 Rs.' 000	31-Dec-17 Rs.' 000	Variance %
Profit for the period	**3,221,334**	**4,427,747**	**(27)**	**10,736,042**	**13,243,885**	**(19)**
Other comprehensive income						
Other comprehensive income that will never be reclassified to profit or loss in subsequent periods:						
Defined benefit plan actuarial gains / (losses)						
Re-measurement of defined benefit liabilities	2,074	-	100	2,074	-	100
Net other comprehensive income not to be reclassified to income statement in subsequent periods	**2,074**	**-**	**100**	**2,074**	**-**	**100**
Other comprehensive income that are or may be reclassified to profit or loss in subsequent periods :						
Available for sale financial instruments						
Net change in fair value of available-for-sale financial assets	(117,434)	(126,684)	7	(217,082)	363,630	160
Foreign currency translation differences for foreign operations						
Exchange gain from translation of foreign operations	5,457,606	(91,403)	6,071	9,870,628	(169,407)	5,927
Transfer of translation reserve on disposed foreign associate	-	(1,597)	100	-	(1,597)	100
Fair value differences on cash flow hedges						
Net movement in cash flow hedges	1,921	312,722	(99)	98,474	(84,907)	216
Net other comprehensive income to be reclassified to income statement in subsequent periods	**5,342,092**	**93,038**	**6,079**	**9,752,019**	**107,719**	**6,402**
Total other comprehensive income/ (expense) for the period, net of t	**5,344,166**	**93,038**	**6,179**	**9,754,093**	**107,719**	**6,502**
Total comprehensive income for the period, net of tax	**8,565,501**	**4,520,785**	**6,152**	**20,490,136**	**13,351,604**	**6,483**
Tota comprehensive income attributable to;						
Equity holders of the Company	3,515,383	2,646,037	33	9,638,710	7,382,275	31
Non-controlling interests	5,050,118	1,874,748	169	10,851,426	5,969,329	82
	8,565,501	**4,520,785**	**202**	**20,490,136**	**13,351,604**	**112**

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LOLC Holdings PLC
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Statement of Profit or Loss

	Company					
	Three Months Ended			Nine Months Ended		
	31-Dec-18 Rs.' 000	31-Dec-17 Rs.' 000	Variance %	31-Dec-18 Rs.' 000	31-Dec-17 Rs.' 000	Variance %
Gross income	**2,808,133**	**2,683,081**	**5**	**8,056,548**	**7,777,486**	**4**
Interest income	620,162	683,553	(9)	2,136,512	2,135,739	0
Interest expense	(2,078,653)	(1,520,505)	(37)	(5,757,578)	(4,449,010)	(29)
Net interest income	**(1,458,491)**	**(836,952)**	**74**	**(3,621,066)**	**(2,313,271)**	**57**
Revenue	338,790	-	100	821,515	-	100
Cost of sales	(303,644)	-	100	(750,566)	-	100
Gross profit	**35,147**	**-**	**-**	**70,950**	**-**	**-**
Income	1,336,099	1,248,194	7	3,407,538	3,037,573	12
Other income/(expenses) (Including net finance cost)	513,081	751,334	(32)	1,690,982	2,604,174	(35)
Profit before operating expenses	**425,836**	**1,162,576**	**(63)**	**1,548,404**	**3,328,476**	**(53)**
Operating expenses						
VAT on financial services	-	3,766	100	(53,913)	(28,014)	(92)
Other direct expenses excluding finance costs	(643)	(5,519)	88	(4,480)	(20,808)	78
Personnel costs	(502,395)	(482,531)	(4)	(1,162,371)	(1,082,557)	(7)
Net impairment (loss) / reversal on financial assets	74	134	44	6,876	1,823	(277)
Depreciation and amortization	(152,101)	(133,256)	(14)	(419,359)	(361,180)	(16)
Other operating expenses	(790,211)	(720,491)	(10)	(2,294,686)	(2,288,505)	(0)
Profit before income tax expense	**(1,019,440)**	**(175,321)**	**481**	**(2,379,529)**	**(450,765)**	**428**
Income tax expense	(20,933)	(43,532)	52	(37,678)	(154,716)	76
Profit for the period	**(1,040,372)**	**(218,853)**	**(375)**	**(2,417,206)**	**(605,481)**	**(299)**
Profit attributable to;						
Equity holders of the Company	(1,040,372)	(218,853)	(375)	(2,417,206)	(605,481)	(299)
Non-controlling interests	-	-	-	-	-	-
	(1,040,372)	**(218,853)**	**(375)**	**(2,417,206)**	**(605,481)**	**(299)**
Basic earnings per share (Rs.)	**(2.19)**	**(0.46)**	**(375)**	**(5.09)**	**(1.27)**	**(299)**

Figures in brackets indicate deductions.
The above figures are not audited

Statement of Other Comprehensive Income

	Company					
	Three Months Ended			Nine Months Ended		
	31-Dec-18 Rs.' 000	31-Dec-17 Rs.' 000	Variance %	31-Dec-18 Rs.' 000	31-Dec-17 Rs.' 000	Variance %
Profit for the period	**(1,040,372)**	**(218,853)**	**(375)**	**(2,417,206)**	**(605,481)**	**(299)**
Other comprehensive income						
Available for sale financial instruments						
Net change in fair value of available-for-sale financial assets	13,591	(49,510)	127	(72,808)	(31,065)	(134)
Total other comprehensive income/ (expense) for the period, net of t	**13,591**	**(49,510)**	**127**	**(72,808)**	**(31,065)**	**(134)**
Total comprehensive income for the period, net of tax	**(1,026,781)**	**(268,363)**	**(248)**	**(2,490,014)**	**(636,546)**	**(434)**
Tota comprehensive income attributable to;						
Equity holders of the Company	(1,026,781)	(268,363)	(283)	(2,490,014)	(636,546)	(291)
Non-controlling interests	-	-	-	-	-	-
	(1,026,781)	**(268,363)**	**(283)**	**(2,490,014)**	**(636,546)**	**(291)**

Figures in brackets indicate deductions
The above figures are not audited

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of changes in equity

	Equity attibutable to the shareholders of the Company						
Company	**Stated Capital Rs.'000**	**Revaluation Reserve Rs.'000**	**Fair Value Reserve on AFS Rs.'000**	**Future Taxation Reserve Rs.'000**	**Merger Reserve Rs.'000**	**Retained Earnings Rs.'000**	**Total Rs.'000**
Balance as at 01 April 2017	**475,200**	**3,139,620**	**33,006**	**205,000**	**-**	**43,138,876**	**46,991,702**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	(605,481)	**(605,481)**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets	-	-	(31,065)	-	-	-	**(31,065)**
Total comprehensive income for the period	-	-	(31,065)	-	-	(605,481)	**(636,546)**
Balance as at 31 December 2017	**475,200**	**3,139,620**	**1,941**	**205,000**	**-**	**42,533,395**	**46,355,156**
Balance as at 01 April 2018	**475,200**	**2,715,503**	**9,708**	**205,000**	**-**	**48,229,945**	**51,635,356**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	(2,417,206)	**(2,417,206)**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets	-	-	(72,808)	-	-	-	**(72,808)**
Dividend forfeited during the period	**-**	**-**	**-**	**-**	**-**	-	**-**
Total comprehensive income for the period	**-**	**-**	**(72,808)**	**-**	**-**	**(2,417,206)**	**(2,490,014)**
Gain/(loss) on Amalgamation	-	-	-	-	(129,875)	-	**(129,875)**
Balance as at 31 December 2018	**475,200**	**2,715,503**	**(63,100)**	**205,000**	**(129,875)**	**45,812,739**	**49,015,466**

Figures in brackets indicate deductions
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LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of changes in equity

	Equity attibutable to the shareholders of the Company										
Group	**Stated Capital Rs.' 000**	**Revaluation Reserve Rs.' 000**	**Cash Flow Hedge Reserve Rs.' 000**	**Fair Value Reserve on AFS Rs.' 000**	**Translation Reserve Rs.' 000**	**Future Taxation Reserve Rs.' 000**	**Statutory Reserve Fund Rs.' 000**	**Retained Earnings Rs.' 000**	**Total Rs.' 000**	**Non-controlling Interests Rs.' 000**	**Total Equity Rs.' 000**
Balance as at 01 April 2017	**475,200**	**6,601,609**	**118,358**	**(895,216)**	**744,533**	**205,000**	**2,158,162**	**49,442,053**	**58,849,699**	**43,766,141**	**102,615,840**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	7,263,132	**7,263,132**	5,980,753	**13,243,885**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	346,750	-	-	-	-	**346,750**	16,880	**363,630**
Foreign currency translation differences for foreign operations	-	-	-	-	(86,235)	-	-	-	**(86,235)**	1,328	**(84,907)**
Net movement of cash flow hedges	-	-	(139,775)	-	-	-	-	-	**(139,775)**	(29,632)	**(169,407)**
Transfer of translation reserve on disposed foreign associate	-	-	-	-	(1,597)	-	-	-	**(1,597)**	-	**(1,597)**
Total other comprehensive income for the period	**-**	**-**	**(139,775)**	**346,750**	**(87,832)**	**-**	**-**	**-**	**119,143**	**(11,424)**	**107,719**
Total comprehensive income for the period	**-**	**-**	**(139,775)**	**346,750**	**(87,832)**	**-**	**-**	**7,263,132**	**7,382,275**	**5,969,329**	**13,351,604**
Transactions with owners directly recorded in the Equity											
Contributions by and distributions to owners											
Dividends paid during the period	-	-	-	-	-	-	-	-	**-**	(747,478)	**(747,478)**
Total contribution by / (distributions to) owners of the Company	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(747,478)**	**(747,478)**
Transactions due to changes in group holding											
Non-controlling interests recognized on acquisition of subsidiaires	-	-	-	-	-	-	-	-	**-**	2,980,299	**2,980,299**
NCI contribution for subsidiairy share issues	-	-	-	-	-	-	-	-	**-**	148	**148**
Changes in ownership interests that do not result in a change in control								777,397	**777,397**	(3,060,791)	**(2,283,394)**
Total transactions due to changes in group holding	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**777,397**	**777,397**	**(80,344)**	**697,053**
Total transactions with owners directly recorded in the Equity	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**777,397**	**777,397**	**(827,822)**	**(50,425)**
Other movements in equity											
Depreciation transfer on revaluation	-	(341)	-	-	-	-	-	341	**-**	-	**-**
Net transfers to statutory reserve fund	-	-	-	-	-	-	149,879	(149,879)	**-**	-	**-**
Share issue cost of subsidiairy companies	-	-	-	-	-	-	-	(4,110)	**(4,110)**	(4,356)	**(8,466)**
Total other movements	**-**	**(341)**	**-**	**-**	**-**	**-**	**149,879**	**(153,648)**	**(4,110)**	**(4,356)**	**(8,466)**
Balance as at 31 December 2017	**475,200**	**6,601,268**	**(21,417)**	**(548,466)**	**656,701**	**205,000**	**2,308,041**	**57,328,934**	**67,005,261**	**48,903,292**	**115,908,553**

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of changes in equity

	Equity attibutable to the shareholders of the Company										
Group	**Stated Capital Rs.' 000**	**Revaluation Reserve Rs.' 000**	**Cash Flow Hedge Reserve Rs.' 000**	**Fair Value Reserve on AFS Rs.' 000**	**Translation Reserve Rs.' 000**	**Future Taxation Reserve Rs.' 000**	**Statutory Reserve Fund Rs.' 000**	**Retained Earnings Rs.' 000**	**Total Rs.' 000**	**Non-controlling Interests Rs.' 000**	**Total Equity Rs.' 000**
Balance as at 01 April 2018	**475,200**	**7,583,355**	**(41,026)**	**171,674**	**1,101,554**	**205,000**	**2,663,011**	**58,303,245**	**70,462,013**	**47,070,541**	**117,532,554**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	5,452,950	**5,452,950**	5,283,092	**10,736,042**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	(184,357)	-	-	-	-	**(184,357)**	(32,725)	**(217,082)**
Foreign currency translation differences for foreign operations	-	-	-	-	4,271,527	-	-	-	**4,271,527**	5,599,100	**9,870,628**
Net movement of cash flow hedges	-	-	96,515	-	-	-	-	-	**96,515**	1,959	**98,474**
Re-measurement of defined benefit liabilities	-	-	-	-	-	-	-	2,074	**2,074**	-	**2,074**
Total other comprehensive income for the period	**-**	**-**	**96,515**	**(184,357)**	**4,271,527**	**-**	**-**	**2,074**	**4,185,759**	**5,568,334**	**9,754,093**
Total comprehensive income for the period	**-**	**-**	**96,515**	**(184,357)**	**4,271,527**	**-**	**-**	**5,455,024**	**9,638,710**	**10,851,426**	**20,490,136**
Trasactions due to changes in group holding											
NCI contribution for subsidiairy share issues	-	-	-	-	-	-	-	-	**-**	576,214	**576,214**
Non-controlling interests recognized on acquisition of subsidiaires	-	-	-	-	-	-	-	-	**-**	(9,978)	**(9,978)**
Changes in ownership interests that do not result in a change in control	-	-	-	-	-	-	-	12,303,213	**12,303,213**	(12,303,213)	**0.00**
Total transactions due to changes in group holding	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**12,303,213**	**12,303,213**	**(11,736,977)**	**566,236**
Total transactions with owners directly recorded in the Equity	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**12,303,213**	**12,303,213**	**(11,736,977)**	**566,236**
Other movements in equity											
Depreciation transfer on revaluation	-	(330)	-	-	-	-	-	330	**-**	-	**-**
Net transfers to statutory reserve fund	-	-	-	-	-	-	4,982,533	(4,982,533)	**-**	-	**-**
Total other movements	**-**	**(330)**	**-**	**-**	**-**	**-**	**4,982,533**	**(4,982,203)**	**-**	**-**	**-**
Balance as at 31 December 2018	**475,200**	**7,583,025**	**55,489**	**(12,683)**	**5,373,081**	**205,000**	**7,645,544**	**71,079,279**	**92,403,936**	**46,184,990**	**138,588,925**

Figures in brackets indicate deductions
The above figures are not audited

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of Cash Flows

For the nine month period ended 31 December	Group 2018 Rs.' 000	Group 2017 Rs.' 000	Company 2018 Rs.' 000	Company 2017 Rs.' 000
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	15,869,981	17,641,768	(2,379,529)	(450,765)
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(145,131)	(99,221)	(42,771)	(62,376)
Depreciation and amortization	1,883,218	1,671,066	419,359	361,180
Insurance provision	84,698	1,238,158	-	-
Change in fair value of forward contracts	357,071	101,315	-	-
Provision for gratuity	270,735	235,191	37,315	34,200
Net impairment (loss) / reversal on financial assets	9,411,602	5,982,382	(6,876)	(1,823)
Provision for fall/(increase) in value of investments	(18,219)	(485,530)	23,351	37,158
Investment Income	(11,860)	(497,024)	(14,523)	(38,546)
Net finance costs	51,430,958	43,475,993	5,757,578	4,449,010
Interest income	(2,682,502)	(4,146,335)	-	(3,560)
(Profit)/loss on sale of quoted and non-quoted shares	-	(520,181)	-	(670)
Share of profits of equity accounted investees	(743,530)	(1,565,913)	-	-
Results on acquisition and divestment of group investments	-	(1,597)	-	-
Amortization of deferred income	(7,462)	-	-	-
Transaction cost on acquisition of subsidiaries	-	3,625	-	-
Operating profit before working capital changes	**75,699,559**	**63,033,697**	**3,793,904**	**4,323,808**
Working capital changes				
Increase/(decrease) in trade and other payables	2,938,672	10,074,325	(6,801,409)	2,464,428
(Increase)/decrease in investment in leases, hire purchase and others	(2,779,483)	(4,828,156)	271	2,906
(Increase)/decrease in investment in advances and other loans	(133,299,836)	(92,098,599)	235,085	80,199
(Increase)/decrease in premium receivables	250,218	237,543	-	-
(Increase)/decrease in inventories	(1,086,407)	(91,997)	(257,567)	36,341
(Increase)/decrease in trade and other receivables	809,027	(9,353,681)	3,461,810	75,690
Increase/(decrease) in customer deposits	112,901,310	74,265,743	-	-
Cash generated from operations	**55,433,060**	**41,238,875**	**432,093**	**6,983,372**
Finance cost paid	(54,230,454)	(39,341,616)	(5,364,388)	(4,129,709)
Income tax and Economic Service Charge paid	(1,404,671)	(1,081,583)	(12,884)	(258,286)
Defined benefit plan costs paid	(123,209)	(1,117,123)	(9,330)	(5,528)
Net cash from/(used in) operating activities	**(325,274)**	**(301,447)**	**(4,954,508)**	**2,589,849**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(9,361,025)	(1,612,622)
Net cash and cash equivalents on acquisition of subsidiary	(70,660)	626,251	10,543	-
Net cash and cash equivalents on acquisition of Jontly Controled entity	(197,232)	-	-	-
Investment in equity accounted investees	-	(306,441)	-	-
Acquisition of PPE/ Investment properties	(1,607,425)	(5,917,260)	(614,814)	(560,836)
(Acquisition)/Disposal of intangible assets	(668,561)	(72,036)	(401,429)	(71,433)
Net additions to trading assets	(6,840,744)	(5,278,750)	(85,543)	-
Net additions to investment securities	9,200,448	(16,752,077)	11,122,880	37,868
Proceeds from the disposal of PPE/ Investment properties	(7,395,123)	47,297	133,257	634,587
Interest received	2,689,964	4,146,335	-	-
Dividend received	36,430	546,110	14,523	53,112
Net additions to biological assets	(134,008)	(96,199)	-	-
Prepayment of lease rentals	(495,097)	-	-	-
Acquisition of non-controlling interests	-	(2,286,764)	-	-
Net cash flow from investing activities	**(5,482,008)**	**(25,343,534)**	**818,391**	**(1,519,324)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term borrowings	(4,028,725)	(12,887,584)	4,910,954	(3,863,864)
Principal repayment under finance lease liabilities	(196,522)	(585,818)	55,775	(37,256)
Proceeds from long-term borrowings	84,250,404	84,952,397	1,580,228	3,613,861
Repayments of long-term borrowings	(29,397,136)	(49,676,694)	(1,949,989)	(1,728,446)
Issue/ (repayment) of debentures	2,500,000		-	-
Dividends paid to non-controlling interests	-	(747,478)	-	(4,717)
NCI contribution to subsidiary share issues	576,214	148	-	-
Cost on issue of shares of subsidiary	-	(8,466)	-	-
Net cash generated from financing activities	**53,704,235**	**21,046,505**	**4,596,968**	**(2,020,422)**
Net increase/(decrease) in cash and cash equivalents during the period	47,896,953	(4,598,476)	460,851	(949,897)
Cash and cash equivalents at the beginning of the period	41,839,377	46,849,908	(2,178,619)	(1,231,285)
Cash and cash equivalents at the end of the period	**89,736,330**	**42,251,432**	**(1,717,768)**	**(2,181,182)**
Analysis of cash and cash equivalents at the end of the period				
Cash in Hand and Favorable Bank Balances	102,659,423	50,846,148	1,310,584	218,919
Unfavorable Bank Balances used for cash management purposes	(12,923,093)	(8,594,716)	(3,028,352)	(2,400,101)
	89,736,330	**42,251,432**	**(1,717,768)**	**(2,181,182)**

Figures in brackets indicate deductions
The above figures are not audited

Notes to the Interim Financial Statements

1 The Statement of Financial Position as at 31 December 2018, Income Statement, Statement of Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the Nine month period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries and associates and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Financial Statements for 2017/18 are followed in the preparation of these Interim Financial Statements.

New standards, interpretations and amendments adopted by the Group

(a) SLFRS 15 Revenue from Contracts with Customers

SLFRS 15 supercedes LKAS 11 Construction Contracts, LKAS 18 Revenue and related Interpretations and it applies to all revenue arising from contracts with customers, unless those contracts are in the scope of other standards. The new standard establishes a five-step model to account for revenue arising from contracts with customers. Under SLFRS 15, revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled to in exchange for transferring goods or services to a customer.

The standard requires entities to exercise judgement, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers. The standard also specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract.

The Group adopted SLFRS 15 using the full retrospective method of adoption. Based on the assessment performed, the Group concluded that SLFRS 15 does not have a material impact on the Group's consolidated financial statements.

(b) SLFRS 9 Financial Instruments

The Sri Lanka Accounting Standard – SLFRS 9 on "Financial Instruments", which replaces the existing guidance on LKAS 39 on "Financial Instruments: Recognition and Measurement" has become effective for annual reporting periods beginning on or after 01 January 2018.

SLFRS 9 replaces the "Incurred Loss Model" in LKAS 39 with forward looking "Expected Credit Loss Model ("ECL") which requires considerable judgement over how changes in economic factors affect ECL, in turn is to be determined on a probability weighted basis. SLFRS 9 also contains a new classification and measurement approach for financial assets that reflect the business model in which assets are managed based on their cash flow characteristics.

Based on the "Statement of Alternative Treatment (SoAT) on the Figures in the Interim Financial Statements" issued by The Institute of Chartered Accountants of Sri Lanka entities are granted with the option to prepare Interim Financial Statements continuing the application of LKAS 39 with disclosures on impact to the Income Statement and Statement of Profit or Loss and Other Comprehensive Income for the period if SLFRS 9 has been applied. Accordingly, as permitted by the above SoAT, the Group has prepared the Interim Financial Statements for the period ended 31 December 2018 based on LKAS 39.

Impact on Statement of Comprehensive Income and Net Assets

Based on the assessments undertaken to date which is yet to be audited, the total estimated additional loan loss provision as at 31 March 2018 on adoption of SLFRS 9 is expected to 15%-20% compared to the total impairment provision determined as per LKAS 39. The impact of the new classification for financial assets is not expected to be material.

Accordingly, the increase in impairment provision based on ECL model under SLFRS 9, had it been effective as at 31st March, 2018 and will have reduce the Group's net assets by a negligible amount. The Group is in the process of validating the impact of migration to SLFRS 9

3 Revenue includes revenue from trading, manufacturing, leisure, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2018.

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)

Notes to the Interim Financial Statements

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements other than disclosed as follows.

9 Market prices of ordinary shares recorded during the period ended 31 December 2018 are as follows;

Closing price	89.90
Highest Price	100.00
Lowest Price	82.40

10 Information on Company's listed debentures

10 Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 28 December 2018

	Buying	Selling
4 Year Bond		
Price (Rs.)	95.17	95.52
Yield (%)	11.54%	11.42%
5 Year Bond		
Price (Rs.)	93.61	94.00
Yield (%)	11.64%	11.52%

10 Market prices and yield during the period (ex interest)

	4 Year Bond	5 Year Bond
Price (Rs.)	95.35	93.81
Yield (%)	11.48%	11.58%

	Current period
Yield to maturity of trade done on 26 December 2018	11.56

Debt to equity	1.30	times
Interest cover	1.31	times
Quick asset ratio	2.24	times

10 The market prices during the period (ex interest)

Highest price	89.16
Lowest price	85.14
Last traded price	89.16

11 Backed to backed deposits details	**As at 31 December 2018**
	Rs. '000
Back to back deposits on foreign funding	21,156,311
Interest income earned on back to back deposits	518,762

12 Group Portfolio information	**As at 31 December 2018**
	Rs. '000
Gross portfolio	683,759,972
Non-performing portfolio > 6 months	17,830,687
Allowance for non-performing portfolio	14,947,692

13 Amalgamation of Ceylon Roots (Pvt) Ltd with LOLC Holdings PLC

In compliance to the Section 242 of Companies Act No. 07 of 2007, Ceylon Roots (Pvt) Ltd (CRL) which was a fully owned subsidiary of the LOLC Holding PLC (holding company of the group) was amalgamated with LOLC Holdings PLC with effect from 31st July, 2018.

The carrying amounts of the identifiable assets and liabilities of the acquiree as at 31st July 2018 which is the merger date is as follows;

	31st July 2018
	In Rs' 000
Assets	
Cash and cash equivalents	30,009
Investment securities	5,349,727
Current tax assets	89,445
Trade and other current assets	434,126
Investments in group companies;	
Subsidiary companies	6,440,223
Deferred tax assets	275
Property, plant and equipment	8,763
	12,352,566
Liabilities	
Bank overdrafts	19,466
Interest bearing borrowings	4,144,974
Current tax payables	173,155
Trade and other payables	4,231,231
Retirement benefit obligations	3,821
	8,572,647
Carrying amount of identifiable net assets acquired	**3,779,919**
Results of the acquisitions of above entity are as follows;	
Investment	3,909,794
Carrying amount of identifiable net assets merged	3,779,919
Resulting Loss	**129,875**

Since this business combination is within entities under the common control of the ultimate parent LOLC, no goodwill is recognized and upon the merger, the loss of Rs. 129,875/- was recognized in equity of the Company.

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Notes to the Interim Financial Statements

Operating Segments

For the nine month period ended 31 December 2018	Financial Services	Long term & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Power Generation	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	109,177,832	5,157,452	15,408,732	1,263,146	1,832,629	-	(9,126,678)	**123,713,113**
Net interest cost	(49,569,370)	(7,495)	(3,300,630)	(1,770,043)	(448,259)	-	3,664,840	**(51,430,958)**
Cost of sales	(750,566)	-	(10,123,626)	(285,892)	(576,749)	-	(45,345)	**(11,782,178)**
Profit before operating expenses	**58,857,896**	**5,149,957**	**1,984,476**	**(792,789)**	**807,621**	**-**	**(5,507,183)**	**60,499,977**
Operating expenses	(40,981,470)	(4,941,001)	(2,240,013)	(980,873)	(971,610)	-	4,741,441	**(45,373,526)**
Results from operating activities	**17,876,426**	**208,955**	**(255,537)**	**(1,773,662)**	**(163,990)**	**-**	**(765,742)**	**15,126,451**
Share of profits of equity accounted investees	-	-	-	-	-	743,530	-	**743,530**
Profit before taxation	**17,876,426**	**208,955**	**(255,537)**	**(1,773,662)**	**(163,990)**	**743,530**	**(765,742)**	**15,869,981**
For the nine month period ended 31 December 2017								
Gross income	93,395,408	5,163,287	13,863,153	2,333,979	2,416,956	-	(9,516,339)	**107,656,444**
Net interest cost	(42,874,825)	(7)	(1,097,220)	(1,412,869)	(404,387)	-	2,313,315	**(43,475,993)**
Cost of sales	-	-	(9,604,383)	(978,907)	(367,834)	-	6,564	**(10,944,560)**
Profit before operating expenses	50,520,583	5,163,280	3,161,550	(57,797)	1,644,735	-	(7,196,460)	**53,235,891**
Operating expenses	(34,282,972)	(4,786,294)	(3,044,522)	(1,079,107)	(1,448,894)	-	7,480,156	**(37,161,633)**
Results from operating activities	16,237,611	376,986	117,028	(1,136,904)	195,841	-	283,696	**16,074,258**
Share of profits of equity accounted investees	-	-	-	-	-	1,565,913	-	**1,565,913**
Results on acquisition and divestment of group investments	-	-	-	-	-	-	1,597	**1,597**
Profit before taxation	**16,237,611**	**376,986**	**117,028**	**(1,136,904)**	**195,841**	**1,565,913**	**285,293**	**17,641,768**

For the nine month period ended 31 December 2018	Financial Services	Long term & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Power Generation	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	9,295,271	10,405	104,347	-	-	-	1,578	**9,411,602**
Depreciation and amortization	1,162,743	47,088	312,164	182,338	217,873	-	(38,988)	**1,883,218**
Total assets (as at 31 December 2018)	982,430,431	11,877,760	77,893,217	55,307,292	10,352,189	-	(129,580,941)	**1,008,279,948**
Total liabilities (as at 31 December 2018)	819,600,197	7,828,622	32,839,768	28,876,129	6,903,799	-	(26,357,491)	**869,691,023**
For the nine month period ended 31 December 2017								
Net impairment (loss) / reversal on financial assets	5,955,171	-	27,211	-	-	-	-	**5,982,382**
Depreciation and amortization	1,037,204	35,908	213,493	195,605	181,356	-	7,500	**1,671,066**
Total assets (as at 31 December 2017)	735,776,114	10,779,487	50,678,195	41,005,218	9,506,355	-	(77,521,381)	**770,223,988**
Total liabilities (as at 31 December 2017)	624,853,834	7,262,888	29,397,191	18,891,772	6,111,295	-	(32,201,545)	**654,315,435**

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Notes to the Interim Financial Statements

Valuation of Financial Assets and Liabilities

In Rs'000

As at 31 December 2018 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	10,027,425	-	-	**10,027,425**	**10,027,425**	Level 1 and Level 2
Investment securities	-	-	19,952,562	50,766,521	**70,719,084**	**70,719,084**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	59,346,198	**59,346,198**	**58,728,998**	Level 3
Advances and other loans	-	-	-	617,297,490	**617,297,490**	**616,898,098**	Level 3
Total financial assets	**-**	**10,027,425**	**19,952,562**	**727,410,209**	**757,390,197**	**756,373,605**	
Trading liabilities - fair value through profit or loss	3,511	-	-	-	**3,511**	**3,511**	Level 1
Deposits liabilities	-	-	-	420,429,910	**420,429,910**	**422,952,490**	Level 3
Interest bearing borrowings	-	-	-	373,560,886	**373,560,886**	**375,802,251**	Level 3
Total financial liabilities	**3,511**	**-**	**-**	**793,990,796**	**793,994,307**	**798,758,252**	

Valuation of Financial Assets and Liabilities

In Rs'000

As at 31st March 2018 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	3,168,463	-	-	**3,168,463**	**3,168,463**	Level 1 and Level 2
Investment securities	-	-	12,434,835	67,701,778	**80,136,613**	**55,379,321**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	56,724,874	**56,724,874**	**57,299,901**	Level 3
Advances and other loans	-	-	-	493,251,097	**493,251,097**	**493,781,850**	Level 3
Total financial assets	**-**	**3,168,463**	**12,434,835**	**617,677,749**	**633,281,047**	**609,629,535**	
Trading liabilities - fair value through profit or loss	754,089	-	-	-	**754,089**	**754,089**	Level 1
Deposits liabilities	-	-	-	307,528,600	**307,528,600**	**308,359,254**	Level 3
Interest bearing borrowings	-	-	-	332,254,802	**332,254,802**	**333,936,603**	Level 3
Total financial liabilities	**754,089**	**-**	**-**	**639,783,402**	**640,537,491**	**643,049,946**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 31 December 2018

Directors Name	No of shares	%
Mr. I C Nanayakkara		
Held shares in the following manner		
Mr. I C Nanayakkara	91,613,792	19.279
Commercial Bank/I C Nanayakkara	79,000,000	16.625
Sampath Bank/I C Nanayakkara	61,774,000	12.999
Mr. W D K Jayawardena	-	-
Group Managing Director / CEO		
Mrs. K U Amarasinghe	23,760,000	5.000
Deshamanya M D D Peiris	-	-
Dr. R A Fernando	12,600	0.003

Top 20 shareholders as at 31 December 2018

	Shareholder	No. of Shares	% of Issued Share Capital
1	LOLC Holdings (Private) Limited	142,458,490	29.979
2	Mr. I C Nanayakkara	91,613,792	19.279
3	Commercial Bank of Ceylon PLC/ I C Nanayakkara	79,000,000	16.625
4	Sampath Bank PLC/ I C Nanayakkara	61,774,000	13.000
5	Mrs. K U Amarasinghe	23,760,000	5.000
6	Employees Provident Fund	15,182,259	3.195
7	BBH - Matthews International Funds - Matthews Asia Growth Fund	12,121,473	2.551
8	Kashyapa Capital (Pvt) Ltd	8,671,625	1.825
9	BBH - Matthews Emerging Asia Fund	7,511,241	1.581
10	Creation Investments SLI LLC	3,811,644	0.802
11	Mrs. I Nanayakkara	2,827,948	0.595
12	Mr. R C De Silva	1,710,000	0.360
13	J B Cocoshell (Pvt) Ltd	1,529,920	0.322
14	Swastika Mills Ltd	985,703	0.207
15	Mrs. S N Fernando	818,440	0.172
16	Dr. M Ponnambalam	722,616	0.152
17	Mr. G G Ponnambalam	716,818	0.151
18	Sampath Bank PLC/Capital Trust Holdings Ltd	550,000	0.116
19	Capital Trust Holdings Ltd	676,623	0.142
20	Mr. R Maheswaran	500,000	0.105
21	Miss. A Radhakrishnan	500,000	0.105
22	Miss. M P Radhakrishnan	500,000	0.105
		457,942,592	**96.368**

	31 December 2018
The float adjusted market capitalization	6,884,640,710
Public Shareholding	16.12%
No. of Public shareholders	2,864
Compliance Level	Complied under Option 03